

SIMULOK.AI

Strategic Management Simulation Platform

Zara - Business Model & Globalization

Student Handbook

A 12-quarter strategy simulation

Understand the interlocked system. Decide what to change.

Choose where to expand. Assess what can be copied.

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1. Your Role & Objective

It is March 2023. You are the CEO of Zara, the world's most profitable fast-fashion brand. You inherit a business model that has been described as "a tightly interlocked system" - vertical integration, centralized distribution, stores as sensors, scarcity as strategy, and zero advertising. It has produced industry-leading margins for two decades.

But three forces are converging:

- **The environmental bill** - sustainability regulation is coming, and fast fashion is in the crosshairs
- **The shift online** - digital-first competitors like Shein are growing 4x faster than you online
- **AI disruption** - algorithms are starting to replace what your store staff did for trend-spotting

Your job over 12 quarters (3 years):

- Understand which blocks of the business model are load-bearing and which can be adapted
- Decide what to change and live with the cascading consequences
- Choose where to expand globally and which entry mode to use
- Build a model that is hard for competitors to copy
- Maintain profitability while doing all of the above

The central question

Can you change the business model without breaking the system that makes it work?

2. How the Simulation Works

The Flow of Each Quarter

Each quarter follows a four-step cycle:

Step	Action	What Happens
1	Read the News	A real-world event creates a new strategic tension. Read carefully - it signals what's coming.
2	Analyse	Check the Pulse, Analyse, and Canvas tabs to understand your current position, segment shares, and business model health.
3	Decide	Set your investments, toggle BM blocks, adjust prices, launch product lines, and configure global expansion.
4	Next Quarter	The market simulates. Rivals react. Segments shift. Your results appear on the Pulse tab.

Key Concepts

- **Time horizon:** 12 quarters = 3 years. Each quarter represents ~3 months of real business operations.
- **Starting position:** 1,885 stores worldwide, ~€4.2B revenue, 16.5% markdowns (industry average is ~35%), 9.8% market share.
- **Rivals evolve:** Six competitors (H&M, Shein, Amazon, Boohoo, ASOS, Gap) make their own strategic moves each quarter. They are not static.
- **Segments shift:** Customer preferences are not fixed. Some segments grow, others shrink. The market you serve in Q1 is not the market in Q12.
- **Decay is real:** Your brand positioning on speed, sustainability, and digital reach decays over time if you don't invest. Standing still means falling behind.

Important

There is no single "right answer." Multiple strategies can score well. The simulation rewards understanding the system and not memorizing an optimal path.

3. The Six Tabs — Your Dashboard

The simulator has six tabs. Here's what each one does:

Pulse

Your real-time dashboard. Shows key performance indicators (KPIs) with trend arrows:

- **Revenue** - total sales across all regions and product lines
- **Profit** - after all costs (COGS, overhead, store operations, marketing, compliance)
- **Market Share** - your share of the total addressable market across all segments
- **Markdown Rate** - percentage of inventory sold at a discount. Lower is better. Zara's historical advantage.
- **Cash** - cumulative cash position. Running negative for too long is dangerous.

The Pulse tab also shows the quarterly news event - read it carefully before making decisions.

BM Canvas

A visual map of Zara's 10 business model blocks and how they connect. Each block shows:

- Whether it is currently ON or OFF
- Which other blocks it connects to (the lines between blocks)
- What happens if you toggle it (the cascade description)

This is a read-only visualization. To actually toggle blocks, go to the Decide tab.

Analyse

Three analytical views:

- **Segment Board** - shows your share in each of the four customer segments vs. rivals. Tells you where you're winning and losing.
- **Positioning Radar** - a spider chart of your six brand axes (Speed, Value, Sustainability, Digital, Store Experience, AI) vs. competitors.
- **Replicability Defence** - six barrier scores showing how hard it is for competitors to copy your model (see Module 3 below).

Decide

This is where you make all your strategic decisions each quarter. Contains:

- Business model block toggles (ON/OFF for each block)
- Investment sliders (Speed, Sustainability, Digital, AI, Marketing)
- Product line controls (launch new lines, set prices)
- Store count adjustments
- Global expansion settings (regions, store counts, entry modes)

All changes take effect when you click "Next Quarter."

Globalization

A read-only dashboard showing your global operations:

- Active regions, store counts, and entry modes
- Revenue and profit per region
- Cost and price premiums by distance from Spain

To change your global strategy, use the expansion controls in the Decide tab.

Conditions

Shows the current market conditions, external events, and your strategic context. Use it to understand the environment before making quarterly decisions.

4. Module 1: Business Model Canvas

The Core Idea

Zara's business model is not a collection of independent choices. It is an interlocked system where each block reinforces the others. The teaching note describes this as a "strategic graph" - remove one node and the connected nodes are affected.

The 10 Blocks

Upstream (Supply Chain)

Block	What It Does
Vertical Integration	40% of garments manufactured in Zara's own 20 factories. Expensive, but enables the 2-week design-to-shelf cycle.
Centralized Distribution	Single 400,000 sqm hub in Arteixo (Galicia). All merchandise flows through it. Fast to Europe, costly to distant regions.
Creative Teams	Design teams that sit between manufacturing and retail - the bridge. They translate store-floor signals into what gets produced.
Local/Regional Sourcing	80% sourced from Europe and North Africa. 15-20% more expensive than Asia, but proximity enables the 2-week response.
JIT Small-Batch	Toyota-inspired just-in-time production. Small batches, delayed commitment. Flexible but capital-intensive.

Downstream (Market-Facing)

Block	What It Does
Stores as Sensors	Store managers transmit customer data and trend signals to design teams. The case calls this the single most important constraint on growth.
Scarcity & No-Restock	Zara rarely restocks, even bestsellers. Creates urgency: "buy now, it won't be here next week." Drives 17 store visits/year vs. industry 3-4.
No-Advertising	0.3% of sales on advertising vs. Gap's 6.7%. Product velocity and store windows do the work. Only works because visits are already high.
Direct Store Ownership	Zara owns most stores rather than franchising. Higher cost, but full margin capture and full control over the customer experience.

The Central Hub

Block	What It Does
Quick Response (QR)	The emergent property of all other blocks. 2-week design-to-shelf. You cannot toggle QR directly - it degrades when you remove the blocks that create it.

Key Insight: Cascades

When you toggle a block OFF, the effects cascade. Removing Vertical Integration doesn't just change your manufacturing cost - it slows your speed, which increases markdowns, which weakens scarcity, which reduces store visits, which means you now need advertising spend. One change, five consequences.

The QR Hub

Quick Response cannot be turned off with a switch. It is the result of all the other blocks working together. Remove enough connected blocks and QR degrades on its own - you'll see it in rising markdowns, falling visit rates, and slower inventory turns.

5. Module 2: Globalization

The teaching note makes a critical observation: Zara's model "doesn't travel well." The further you go from the Arteixo hub in Galicia, the more it costs to operate - and the more you must charge customers to compensate.

Five Regions

Region	Cost Premium	Price Premium	Starting Stores	What It Means
Spain (Home)	Baseline	Baseline	507	Lowest cost, proven demand
Rest of Europe	+6%	+25%	186	Natural extension, moderate premium
Middle East	+12%	+40%	27	Higher margins, smaller market
Americas	+22.5%	+70%	35	Large market, significant logistics cost
Asia-Pacific	+18%	+100%	5	Highest price premium, emerging opportunity

Cost premium = how much more it costs Zara to operate in that region (logistics from Arteixo, local wages, import duties). It hits your *expense side*.

Price premium = how much more Zara charges customers in that region. It hits your *revenue side*. The gap between cost and price premium is your margin opportunity.

Three Entry Modes

Mode	Margin	Cost	Control
Own Stores	100% margin capture	High capex per store	Full control over merchandising and customer experience
Joint Venture	50% margin capture	Shared cost with partner	Shared control — faster expansion, less oversight
Franchise	8% fee income only	Very low — franchisee bears cost	Limited control — risk of brand dilution

Constraint: Annual Entry Mode Changes

You can only change your entry mode at the start of each year (Q1, Q5, Q9). This reflects reality — switching from a joint venture to owned stores takes time and legal restructuring. Plan ahead.

6. Module 3: Replicability

The question every strategist must answer: if your strategy is working, can competitors copy it? The simulator scores six barriers to imitation - all driven by your live decisions.

The Six Barriers

Barrier	What Drives It
Scale	How many stores do you operate? Larger networks are harder to replicate overnight. A competitor starting from zero cannot match 2,000 stores quickly.
Access to Inputs	Are you vertically integrated with local sourcing? Zara's supplier relationships in Spain and North Africa took decades to build. Competitors using Asian outsourcing cannot replicate proximity.
Learning	Zara has been doing this for 25+ years. Learning accumulates with time and AI investment. A competitor may know the model intellectually but not have the embedded knowledge.
Complexity	How many of the 10 business model blocks are still active? More active blocks = more interlinkages = harder to copy. A rival must replicate the system, not just individual pieces.
Mindsets	Are you maintaining the cultural DNA - no advertising, scarcity model? These are counter-intuitive choices that most competitors cannot bring themselves to make.
Timing	First-mover advantage in speed and store-as-sensor. If you're fast and sensing trends through stores, competitors face a compounding gap — they're always a cycle behind.

Why This Matters for Your Score

Replicability is worth 15% of your final grade. A highly profitable strategy that any competitor could copy next quarter is worth less than a moderately profitable strategy with deep defensive barriers.

7. The Competitive Landscape

You compete against six global fashion players. Each has a distinct strategy and evolves over the 12 quarters:

Rival	Positioning	Strengths	Weaknesses
H&M	Balanced fast-fashion, moving toward sustainability	Good stores, decent digital, improving sustainability	Middle of the road - not best at anything
Shein	Ultra-fast, ultra-cheap, 100% digital	Extreme speed (92), powerful AI (72), rock-bottom prices	Near-zero sustainability (8), no stores at all
Amazon	Digital marketplace with AI muscle	Digital reach (95), AI (65), massive distribution	Low speed (30), no physical retail presence
Boohoo	Online-only fast-fashion	Fast (78), strong digital (76)	Low sustainability (15), no stores, inconsistent execution
ASOS	Digital-first, curated multi-brand	Strong digital (82), improving sustainability	No physical stores, moderate execution
Gap	Legacy American casual — in decline	Store network (60), familiar brand	Slow (28), weak digital (45), poor execution

Rivals Are Not Static

Each competitor moves toward target positions over the 12 quarters. Shein gets even faster and more AI-driven. H&M pushes hard on sustainability. Amazon deepens its AI and digital moat. Watch the Positioning Radar on the Analyze tab to track their movement.

8. Customer Segments

The market has four distinct customer segments. Each values different things, and their sizes shift over the 3-year horizon:

Segment	Market Share	What They Value Most	Who Wins Here
Urban Trend Seekers	42% → 31%	Trend Speed, Store Experience	Your inherited core. Shrinking - don't over-invest.
Digital Value Shoppers	30% → 43%	Digital Reach, Price Value	The fastest-growing pool. Shein dominates here.
Conscious Premium	5% → 11%	Sustainability (heavily)	Small but doubling. Willing to pay premium prices.
Extended-Size Shoppers	23% → 15%	Digital Reach, Price Value, AI	\$193bn market, structurally underserved. Rewards AI.

How Market Share Works

Your share in each segment depends on how well your brand axes match what that segment values - relative to all competitors. A segment that values "Digital Reach" will reward the company with the strongest digital positioning, not the one that invested the most money.

Six Brand Axes:

- **Trend Speed** - how fast you move from trend-spotting to shelf. Zara's founding advantage.
- **Price Value** - perceived value for money. Driven by your pricing decisions.
- **Sustainability** - environmental credibility. Requires sustained investment.
- **Digital Reach** - online presence and digital shopping experience.
- **Store Experience** - quality of physical retail. Driven by store count and investment.
- **AI Insight** - algorithmic personalisation and demand prediction.

Decay Warning

Brand axes decay over time if you don't invest. Speed decays fastest, AI decays slowest. The investments you make each quarter are not one-time boosts - they are maintenance of your competitive position.

9. Your Decision Levers

Every quarter, you make decisions across five categories:

A. Business Model Blocks

Toggle any of the 9 switchable blocks ON or OFF. Quick Response cannot be toggled - it emerges from the system. Before toggling a block off, read its cascade description to understand the downstream effects.

B. Investment Sliders

Slider	What It Does
Speed Investment	Maintains and builds your Trend Speed axis. High values keep your 2-week cycle advantage. Expensive.
Sustainability	Builds your Sustainability axis. Required for the Conscious Premium segment. Also reduces compliance cost after Q7.
Digital Investment	Builds your Digital Reach axis. Critical for the growing Digital Value Shoppers segment.
AI Investment	Builds your AI Insight axis. Uniquely, AI does not decay - once built, it stays. Valuable for Extended-Size and Digital segments.
Marketing Spend	Drives traffic. Less critical if scarcity and store visits are high. Becomes essential if you turn off the No-Advertising block.

C. Product Lines

Line	Target Segment	Price Range	Overhead
Core Collection	Urban Trend Seekers	€20 – €70	None (always active)
Digital-Exclusive	Digital Value Shoppers	€12 – €45	€70M/quarter
Conscious Line	Conscious Premium	€40 – €130	€95M/quarter
Extended Sizes	Extended-Size Shoppers	€22 – €80	€80M/quarter

The Core Collection is always active. The other three can be launched with the teal "Launch" button in the Decide tab. Each carries a quarterly overhead cost - make sure the revenue justifies it.

D. Store Count

Adjust total store count up or down. Opening stores requires capital expenditure. Closing stores incurs a one-time cost. Stores drive your Store Experience axis and are the foundation of the "Stores as Sensors" block.

E. Global Expansion

In the Decide tab, you can activate/deactivate regions, set store counts per region, and choose entry modes. Entry modes lock for the year once set - plan your global strategy in annual cycles.

10. Scoring - How You Are Graded

Your final score is out of 100 points, measured across six dimensions:

Dimension	Points	What's Measured
Financial Performance	20	Cumulative profitability over 12 quarters. Were you financially sustainable?
Niche Dominance	20	Your best segment dominance ratio. Did you own at least one segment convincingly?
Markdown Control	15	How low you kept markdowns vs. the industry. Zara's structural advantage - did you preserve it?
Future-Fitness	10	Average of your Sustainability, Digital, and AI axes. Is the business positioned for the next decade?
Globalization	20	Total global revenue. Did you expand internationally in a way that generated real returns?
Replicability	15	Your composite barrier-to-imitation score. Can competitors copy what you built?

Grade Scale

Grade	Description
A+	A model understood, adapted, expanded - and hard to copy (88+ points)
A	You saw the interlinkages and built around them (78+ points)
B+	Good understanding of the model, some expansion gaps (68+ points)
B	Competent stewardship, limited globalization (58+ points)
C	Model defended but not adapted or expanded (48+ points)
D	The model was changed without understanding the cascades (below 48)

11. Strategic Tips (Without Giving Away the Answer)

These tips help you think strategically - they do not prescribe the right answer. Multiple viable strategies exist.

Before You Touch Anything

- Spend Q1 reading the BM Canvas tab. Understand what connects to what before you toggle anything.
- Identify which blocks are load-bearing (many connections) vs. peripheral (fewer connections).
- Read the cascade description for every block. It tells you the consequences.

On Business Model Changes

- Removing blocks reduces cost but triggers cascading effects. Don't toggle off three blocks at once — observe the impact one at a time.
- Quick Response degrades gradually. You won't see it vanish overnight, but rising markdowns and falling visits are the early warning signs.
- Some blocks interact with segments you may not be actively targeting. Think twice.

On Investments

- Axes decay at different rates. Not all investments are equally urgent each quarter.
- AI investment is unique — it doesn't decay. Consider it a permanent asset.
- Sustainability becomes directly relevant to your P&L after a specific quarter. Don't ignore it.

On Product Lines

- Each product line targets a specific segment. Launching a line without the right brand positioning to compete in that segment wastes money.
- Overhead costs are per quarter. A line that breaks even is still burning cash.
- You don't have to launch all lines. Focus beats breadth.

On Globalization

- Closer regions are cheaper to serve. Distance from Galicia is a real cost, not just a map feature.
- Own stores capture the most margin but cost the most. Franchising is cheap but earns much less.
- Think about depth vs. breadth - many stores in a few regions, or a few stores in many regions?

On Replicability

- Turning off business model blocks makes you easier to copy. Complexity is a barrier.
- A strategy that is profitable but easy to replicate is less valuable than a moderately profitable strategy that competitors cannot duplicate.
- Replicability is scored from your live decisions - it's not a separate module you can game.

12. Quarter-by-Quarter Roadmap

What to expect and think about in each quarter:

Q1: The Inheritance

Understand the system. Study the BM Canvas. Set your initial investment priorities. Don't change too much yet.

Q2: The Online Line Crosses

Online is growing faster than you. Evaluate the Digital-Exclusive line. How does going digital affect a model built around physical stores?

Q3: The Water Report

Sustainability hits the news. Start thinking about the Conscious Premium segment. Should you invest in sustainability now, or wait?

Q4: Year One Close

First annual review. Check your financials, segment shares, and whether your BM changes produced the effects you expected. Entry mode changes are possible at Q5.

Q5: An Algorithm Learns

AI enters the picture. Evaluate AI investment. What BM blocks does AI threaten? What can it replace? Entry mode change window.

Q6: The Market Nobody Served

Extended-size data arrives - \$193bn, growing 4.3%/year. Should you launch Extended Sizes? What does it require in the supply chain?

Q7: Brussels Writes a Rule

Compliance regulation kicks in. If your sustainability axis is low, you start paying penalties. Was your earlier investment sufficient?

Q8: Year Two Close

Second annual review. Evaluate your global strategy. The case for European expansion is clear — but what about further regions? Entry mode change window at Q9.

Q9: Resale Eats the Second Wear

Resale disrupts the scarcity model. A garment now competes with itself on the secondary market. Does your strategy still hold? Last entry mode change window.

Q10: Mobile-First Asia

Asia-Pacific demand surges (+12%). Evaluate whether to enter or expand there. Your price premium is +100% — can the market bear it?

Q11: The Board Wants a Position

Which blocks are load-bearing, which are adaptable? Final year — focus on scoring dimensions where you're weakest.

Q12: Year-End Close

Final decisions. No more quarters to recover. Make sure every dimension of your score is as strong as it can be.

13. Glossary of Key Terms

BM Block — A component of Zara's business model that can be toggled ON or OFF. Each block has connections to other blocks and cascade effects when changed.

Cascade — The chain of consequences when a business model block is toggled. Removing one block affects speed, cost, markdowns, visits, and more.

COGS — Cost of Goods Sold — the direct cost to produce each garment. Affected by sourcing choices and sustainability investment.

Cost Premium — The additional operating cost of serving a region vs. Spain. Driven by distance from the Arteixo distribution hub.

Dominance Ratio — Your market share in a segment divided by the next-best competitor's share. Measures how decisively you own a niche.

Entry Mode — How you operate in a region: own stores (100% margin), joint venture (50%), or franchise (8% fee income).

Markdown Rate — Percentage of inventory sold at a discount. Zara's is ~16% vs. industry ~35%. A key measure of model efficiency.

MCI Model — Multiplicative Competitive Interaction — the market share model. Your "fit" with each segment determines your pull, relative to competitors.

Price Premium — The additional amount charged to customers in distant regions. Compensates for higher costs.

Quick Response (QR) — Zara's 2-week design-to-shelf cycle. Not a single capability — it emerges from the interaction of multiple BM blocks.

Replicability — How difficult it is for competitors to copy your strategy. Measured across six barriers to imitation.

Segment Drift — The tendency of customer segments to grow or shrink over time. Digital Value Shoppers grow; Urban Trend Seekers shrink.

TAM — Total Addressable Market — the total market size in billions of euros. Grows slowly over the 12 quarters.

Good luck, CEO.

Remember: the goal is not to find the "right" answer. It is to understand the system well enough to change it without breaking it.